

years since, it has helped digitalise the world's sixth-largest economy, improve compliances, and steadily drive up direct tax collections. By making multiple tax filings redundant, it has enhanced the ease of doing business in the country. Measures such as the e-way bill have also contributed to faster and higher movement of goods and quicker turnaround times due to the abolition of checkposts.

GREATER USE OF new technologies and stricter norms for input tax credit by tax authorities have resulted in a steady increase in GST collections. In FY23, gross GST collection for April 2022 reached an all-time high of ₹1.68 lakh crore, thus surpassing the March figure of ₹1.43 lakh crore by over ₹25,000 crore. Gross GST revenue in May was 44 per cent higher YoY, at ₹1.41 lakh crore, with receipts from domestic transactions and services imports at similar levels and goods imports contributing 43 per cent more in taxes.

As economic activity revives, GST collections are forecast to improve in the months ahead. Moreover, collection numbers are eagerly awaited every month as they have become a key indicator of the bottom line of India's economy.

In such a backdrop, experts say that the possibility of disputes arising between the centre and the states is unlikely and any attempt to challenge it will be widely resisted by the industry. "This is a structural reform and there is no going back. Even the industry will resist any sort of derailment. The concept of One Nation, One Tax is here to stay," asserts Arun Malhotra, Founding Partner and Portfolio Manager at CapGrow Capital Advisors.

With the teething problems on various slabs already resolved, the current synchronised system is unlikely to be altered. "There are

enough economic incentives within the system to ensure that the progress on GST will continue. The freight costs for a lot of domestic sectors have reduced by 1-2.5 per cent, and this includes sectors like ceramics, tiles, cement, tyres, etc. Hence, all industries have benefited," Malhotra elaborates.

The centre and the states would avoid taking opposing views on the recommendations of the GST Council as they will not want to derail the concept of uniform taxation. "Also, the way GST law is structured today, the state government officials are responsible for administering both Central GST (CGST) and State GST (SGST) laws for multiple taxpayers. Hence, a divergence between CGST



There exists a strong possibility of the centre eventually amending the terms of reference of the GST Council. This may happen through the legislative route or through a notification

Act and SGST Act will create issues of implementation of law within the same state," points out Ritesh Kanodia, Co-Chairperson of National Council on Indirect Taxes at ASSOCHAM.

PSL's Jain feels that when it comes to managing the day-to-day affairs of the country, the centre and the states largely exhibit a sagacious approach to issues of national importance. "Of course, there have been litigations between the centre and the states and that will continue, but we don't think that the SC's observation will open the floodgates of litigation."

There is, however, a strong possibility of the centre eventually amending the terms of reference of the GST Council. This has precedence in the past when the centre utilised the legislative route on provisions or recommendations that didn't find favour with the judiciary.

"We have all seen the Vodafone judgement and the Bilateral Investment Treaty litigations thereafter. The SC judgement was practically overruled by way of a legislative amendment, where the transaction was then brought into the tax net. If the government thinks in their wisdom that something which is now outside the tax net needs to be brought in, they may undertake the requisite procedures by way of an amendment, introduction or repeal. It may not require an amendment into the law, but can be sorted out by way of notification or clarification as well," says Jain.

Tax litigations are as old as the hills. Throughout history, tax assesses and collectors have been in a state of perennial conflict. In Singapore—often touted as the world's friendliest tax regime—the revenues of tax consultants are amongst the highest in the world! The idea of One Nation, One Tax appears to be safe for now. **BT**

@manishpant22,

@RajatMishra9518, @iamrahuloberoi

